

The Swiss shareholdings in Whiteley

55. Of the 3,931,983 issued ordinary shares of 25p in B S & W Whiteley Ltd, 33·4 per cent are beneficially owned by four Swiss companies, as follows:

		<i>Per cent</i>
H Weidmann AG	391,000	9·944
Biomed AG	384,000	9·766
Gewerbebank AG	383,300	9·748
Bank Gut, Streiff AG	155,000	3·942
	<u>1,313,300</u>	<u>33·400</u>

All these shares are registered in the names of nominees.

56. Weidmann's business has been described in Chapter 3 above; its shareholding in Whiteley was acquired in the period from late 1970 to June 1972 through the London Stock Exchange at current market prices. Biomed AG is a company concerned with chemical, pharmaceutical, biological-medical, hygienic and cosmetic products; one of its directors is the managing director of Weidmann. We understand that there are no common directors, cross shareholdings or other connections between Weidmann and the two Swiss banks which are shareholders in Whiteley.

57. Biomed's first holding of Whiteley shares (129,000) was acquired in March 1972 from Weidmann. In August 1973 a large block of 483,300 shares sold by a single previous owner was divided between Biomed (130,000), Gewerbebank (263,300) and Bank Gut, Streiff (90,000); the purchase was financed by the St Gallische Kantonbank, which provides banking services to Weidmann; Weidmann's stockbrokers and financial advisers in this country assisted in the transaction. The remaining shares of Biomed (125,000), Gewerbebank (120,000) and Bank Gut, Streiff (65,000) were bought between August 1973 and February 1975 through the London Stock Exchange at the then current market prices.

58. Whiteley was notified in September 1974, by solicitors acting on the instructions of Weidmann's financial advisers in the United Kingdom, that, subject to exchange control consent, it was proposed that the shares held by the four Swiss companies should be purchased by a company registered in the United Kingdom, which would eventually be owned by Weidmann. The solicitors said 'We are instructed that these four individual shareholdings are being put together and acquired by Weidmann as a result of recent negotiations presently being concluded and the shareholdings were not originally acquired in concert or agreement with a view to taking control of Whiteley'. We were subsequently informed that the transfer of shares to the United Kingdom registered company would take place at the market price on the date of transfer, and that the name of the company was Brownnton Ltd.

59. Gewerbebank and Bank Gut, Streiff informed the Commission that they acquired their shareholdings in Whiteley at average prices of 41·6 and 37p per

share respectively. From information supplied to us on Weidmann's behalf we have calculated that the average cost of Biomed's shareholding was approximately 37p per share. Since prices of Whiteley shares during the earlier part of our inquiry were lower than these figures, it seemed possible that a loss would be made in selling the Swiss-owned shares to Brownton at the current market price on the date of transfer. We accordingly asked the Weidmann representatives who would bear any such loss: they replied that the loss would be borne by the beneficial owners of the shares, and that there was no arrangement of any kind for Weidmann to indemnify them against it. Weidmann also stated that it had no understanding with any of the three other companies that they, or any of them, would, if asked to do so, nominate a Weidmann representative as proxy to exercise their voting rights as shareholders of Whiteley.